RESEARCH COMMENT · EUROPEAN EQUITIES

ASML: Margins and Capacity Drive Upgrades

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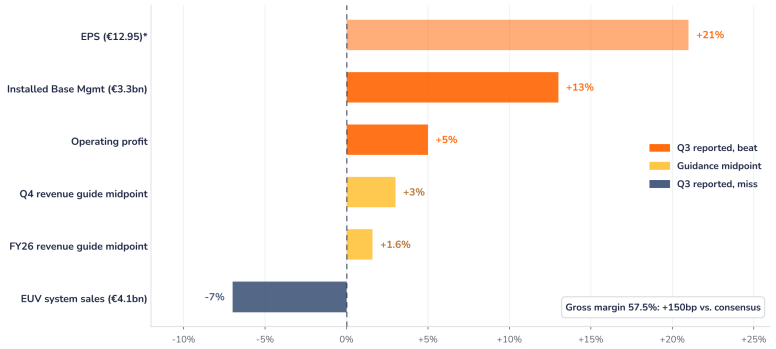
ASML's Q3 2026 results deliver the type of beat we look for: margin and services, not just volume. Revenue of €11.7bn, up 55% YoY, was broadly in line, but the gross margin of 57.5% came in 150bp above consensus and lifted operating profit about 5% above expectations, at a 44.4% operating margin. Q4 revenue guidance of €14.2–15.2bn puts the midpoint about 3% above consensus, and FY2026 guidance rises to €44–45bn. More important than the quarter, management signalled that planned capacity will fall short of demand through 2028. We read this as the start of an upgrade cycle, not a one-quarter beat.

The headline EPS beat needs a discount. EPS of €12.95, up 136% YoY, was about 21% ahead of consensus, but part of that reflects a one-off revaluation of an equity stake. We anchor on the operating line, where the beat is smaller but recurring. The tension for the shares is positioning: BNP Paribas cautions that investors may already expect stronger earnings and will look for explicit 2027 guidance.

A quality beat, flattered at the EPS line

Chart 1 · ASML Q3 2026 – Results vs. Consensus

Variance vs. consensus, % · Q3 reported and guidance midpoints · EPS includes a one-off gain · revenue broadly in line (not shown)

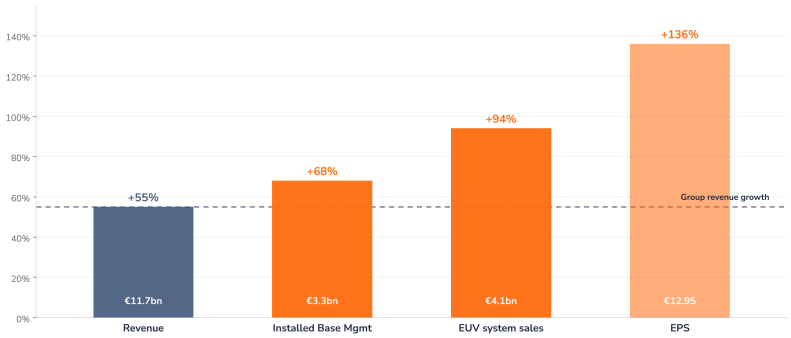


Installed Base Management, at €3.3bn, beat consensus by 13%, with services and productivity upgrades the main operational outperformer. EUV system sales of €4.1bn were the one shortfall, 7% below consensus despite 94% growth; in a capacity-constrained year we read this as shipment timing rather than weaker demand. The guidance beats are modest in revenue terms, but a Q4 gross margin of around 57% implies about 7% EBIT upside, according to UBS.

Services and EUV carry the growth

Chart 2 · ASML Q3 2026 – Year-on-Year Growth

Q3 2026 vs. Q3 2025, % · Q3 2026 level in each bar · dashed line = group revenue growth

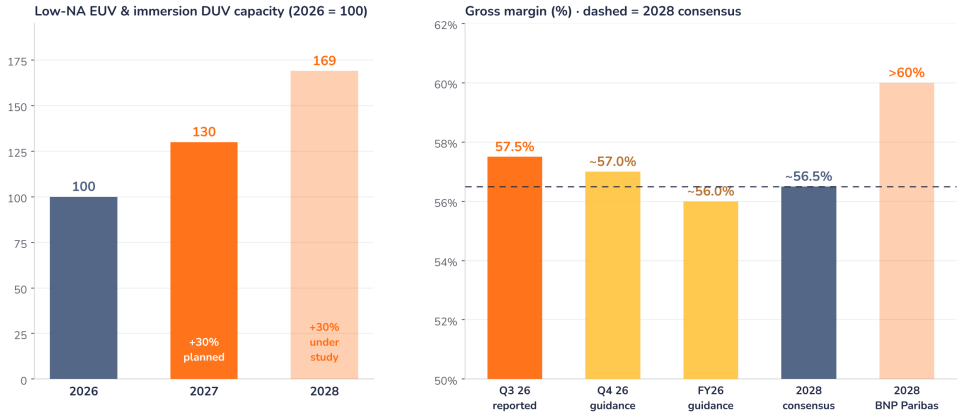


EUV system sales rose 94% and Installed Base Management 68%, both well ahead of group revenue growth of 55%, while EPS rose 136% on operating leverage and the one-off gain. The installed base matters most for the earnings path: upgrades and services scale with a growing EUV fleet, are less cyclical than new tools and support margins even when shipments are capped by capacity.

Capacity, not demand, is the constraint

Chart 3 · ASML – Capacity and Pricing Drive the Earnings Path

Capacity compounded from ASML's framework · light bars = 2028 step under study and BNP Paribas >60% estimate



Capacity is now the binding variable. ASML's release clarifies that its framework envisaged a 30% increase in Low-NA EUV and immersion DUV capacity in 2027, with a further 30% under investigation for 2028; compounded, that would take capacity to about 1.7 times the 2026 level. Management now says even this will not be sufficient and is exploring additional capacity, particularly for 2028. Order intake for 2028 is already significant, and customers have shown strong interest for 2029 and 2030. We treat that interest as visibility, not backlog: it is not the same as firm orders. But a supplier that is sold out two years forward has pricing power, and the quantified decision on 2028 capacity is, in our view, the most important input for 2028 estimates.

Pricing opens a path to 60% gross margins

Pricing is the second lever. According to BNP Paribas, concluded price negotiations should contribute partially in 2027 and fully in 2028, and its analysis points to gross margins above 60% in 2028, against consensus of about 56.5%. That is a broker assessment, not company guidance, but the direction matches what ASML delivered this quarter: 57.5% in Q3 and around 57% guided for Q4, against around 56% for the full year. Both brokers expect upgrades: UBS sees 5–10% consensus EPS upgrades for 2027–28 (Buy, €2,350 target), and BNP Paribas also expects upgrades (Outperform, €2,450 target). The main risk is China, at 23% of system sales versus 14% in Q2, if export restrictions tighten.

Valuation: the growth has to arrive

On UBS's earnings assumptions, the shares trade on about 25x 2027E and 17x 2028E earnings. The compression between the two years is the investment case, and it holds only if capacity is delivered and pricing reaches the P&L on schedule; these multiples should not be read against a separate consensus EPS series. Capacity execution, slower customer capital spending, High-NA adoption delays and elevated expectations are the variables to monitor. The next catalysts are today's investor call, formal FY2027 guidance in January and a quantified decision on additional 2028 capacity.

BASE CASE & IMPLICATIONS

We see ASML entering a multi-year earnings upgrade cycle driven by volume, installed-base growth and pricing, with demand exceeding planned capacity through 2028. We favour exposure to leading-edge lithography and the services annuity its installed base creates. The qualifier is China: at 23% of system sales, it is the main source of downside to estimates should export restrictions tighten.

SYZ Source: Syz Research, ASML, UBS, BNP Paribas

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